

Price	Buy Option	Sell Option
Price < ₹460	✗ Exercised	✗ Exercised
Price = ₹500	✓ Exercised	✗ Exercised
Price > ₹600	✓ Exercised	✓ Exercised



NET INVESTMENT/MAXIMUM LOSS = Net premium
 $= ₹25 - ₹20$
 $= ₹5$

So, while we are below ₹460 or at ₹460, we are in losses. As we go up from ₹460 to ₹465, we start to recover our losses.



BREAK EVEN POINT = Lower strike price + Net premium cost
 $= ₹460 + ₹5$
 $= ₹465$

As we move beyond ₹465 break-even point to ₹600, we make profits. But at ₹600, again, our profits are capped.



MAXIMUM PROFIT = Difference in Strike prices - Net Premium
 $= (₹600 - ₹460) - ₹5$
 $= ₹135$

Beyond ₹600, our profits stay the same as the profits received from call option bought is offset by the profit from call option sold.